

## Hon. Precision

Positive read-through from Advantest's FY1Q26 earnings call - better, diversified AI demand and faster SoC tester capacity builds; OW

- **Advantest's relevant commentary.** 1) Advantest sees the rapid adoption of inference AI driving semiconductor demand across **ASICs, CPUs and DRAM** - the three are growing faster than expected. **GPU** market is still the largest and also enjoys strong demand. 2) Advantest raised its FY26 outlook and expects **the SoC and memory tester markets** in 2026 to be larger than its previous expectations as of April. 3) Advantest is accelerating its **capacity expansion plans**. Its prior annual capacity targets for V93K testers were 5,000 units by Mar 2027 and 10,000 units by late 2028 or early 2029. The company expects to exceed the 5,000 unit target by Mar 2027 and to pull in the 10,000 unit target earlier. 4) **Multiple layers of drivers** for Advantest's SoC testers include chip unit growth and test content increase generation to generation (i.e. longer test times and additional test insertions). 5) **Customer demand visibility** for Advantest has extended to 18 months for a lot of cases, vs historically 6-month forecasts from customers. 6) **CPU** volumes are growing a lot and driving some of the SoC tester TAM increase. On the final test (FT) stage, the test time for CPU is quite a bit lower than that for the accelerators, given the difference in chip complexities.

Advantest (6857 JT) is covered by J.P. Morgan analyst Mio Shikanai, see her [FY1Q26 results note here](#).

## Read-throughs to Hon. Precision

- **In FT, the-tester-to-handler relationship is 1:1; Hon dominates in AI & HPC handlers.** Advantest's upward revisions to the SoC tester market size in 2026, along with its accelerating near- and mid-term capacity expansion plans, create a positive read-through for Hon's test handler demand. Hon is the global No.1 player in semiconductor test handlers and holds a dominant share in final test (FT) handlers for AI and HPC applications (GPUs, ASICs, CPUs, etc.).
- **Better-than-expected demand from CPUs and ASICs supports Hon's fundamentals and stock narrative.** A few investors still view Hon as primarily exposed to NV GPUs and therefore over-correlate Hon's share price outlook with NV GPU progress. Hon has been diversifying into ASICs and CPUs and has guided that its AI GPU vs. ASIC demand mix will shift from ~75–80% / ~25–30% in 2025 to ~50% / ~50% in 2026. In addition, within the system-level test (SLT) handler business, Hon also has a dominant share in AI ASICs and CPUs, by supplying to MediaTek TPUs and AMD Venice CPUs.
- **Advantest's ~18-month customer demand visibility underpins Hon's prior growth guidance.** Hon has guided that its equipment shipment value (reflecting both units and pricing) will grow by >40% YoY in 2026 and >50% YoY in 2027, with continued rapid expansion beyond that. Hon remains in supply tightness for handlers. If Hon can secure more production sites timely,

## Overweight

7769.TW, 7769 TT

Price (29 Jul 26):NT\$5,175.00

Price Target (Jun-27):NT\$8,000.00

## Technology

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there remains upside potential to its growth guidance.

- **Hon benefits from the same multi-layer demand drivers for units and grows ASP on spec upgrades.** Chip unit growth, longer test times, and additional test insertions shall continue to drive Hon's handler shipments. We also highlight that Hon's ATC handler ASP could grow at a teens CAGR, reflecting critical value-add features such as thermal capability upgrades (a roadmap to 2028), integration of optical inspection functions into the handler, CPO test insertion 4 optical-electrical co-test, a new platform for very large packages (120×150 mm and above), etc.
- Hon will report on Jul 30 and hold its earnings call at 2:30pm Taiwan time on Jul 30. See our [Jul 12 note](#) for recent updates.

## Investment Thesis, Valuation and Risks

### Hon. Precision *(Overweight; Price Target: NT\$8,000.00)*

#### Investment Thesis

We are OW Hon. Precision (Hon). Hon is the global No.1 player in semiconductor test handlers, with a 35%+ market share, with an 80% revenue mix from AI & HPC. Given volume and spec uptrends for AI & HPC chips, we model 38%/15% CAGRs for handler shipments/ASP in 2025-28, driving 61% CAGRs for both revenue and EPS. We believe the Street underestimates its multi-year ASP expansion potential amid rapid test spec upgrades. Hon is also a CPO enabler/beneficiary and is becoming a handler total solution provider. We like Hon's EPS power, re-rating potential and enabler role in future AI chip tests.

#### Valuation

Our Jun-27 PT of NT\$8,000 is based on a 38x 2027E P/E, slightly higher than its average of plus 2 STDs of 34x since Nov-24, when the company started trading on the Emerging Board.

We see a potential bull scenario in which Hon's share price could challenge the NT\$10,000 level if and when the Street rolls forward to 2028E EPS and assigns a P/E of 35-40x (see our discussion [here](#)).

#### Risks to Rating and Price Target

Key downside risks include an AI demand slowdown, test density declines, growing competition and slow progress in new advanced packaging technologies.

Key upside catalysts include global AI/AI semi capex hikes, stronger and longer AI demand, accelerating AP tech migrations and key project wins.

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Hon. Precision (7769.TW, 7769 TT) Price Chart



| Date      | Rating | Price (NT\$) | Price Target (NT\$) |
|-----------|--------|--------------|---------------------|
| 04-May-26 | OW     | 4945.00      | 6,700               |
| 13-May-26 | OW     | 6870.00      | 8,000               |

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.  
Initiated coverage May 04, 2026. All share prices are as of market close on the previous business day.

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